

Company Overview

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	4.6%	9.0%	0.10	13.9	1.21	5058.0
2023	9.1%	17.4%	0.10	26.8	1.16	5346.0
2022	12.6%	20.9%	0.10	56.0	1.01	5765.0
2021	11.5%	17.5%	0.12	43.6	0.96	2661.0
2020	10.6%	17.9%	0.17	34.9	0.99	5439.0
2019	12.3%	21.1%	0.10	51.2	1.04	2328.0
2018	12.3%	20.1%	0.13	37.8	1.01	235.0
2017	9.8%	17.3%	0.08	38.4	1.12	1178.0
2016	11.4%	20.7%	0.07	48.6	1.18	1684.0
2015	11.8%	21.7%	0.06	62.3	1.14	583.0

Tech Mahindra Ltd (TECHM) - Page 2

Qualitative Investment Insights

Strengths (Pros):

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend payout backed by positive free cash flow

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability